



Goldman Sachs

Goldman Sachs - GS

13/01/2025

Investment Team name



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Sachs**

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**Goldman
Sachs**

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Company Overview

Company Highlights

- **History:** Founded in 1869 by Marcus Goldman. Became Goldman Sachs in 1885, specializing in the commercial paper business. Pioneer in the development of corporate finance as we know it today. Launched Marcus, its private banking service, in 2016. Introduction of new strategy “One Goldman Sachs” in 2023.
- **Valuation:** Significant volatility, with an upward trend in recent years. Dropped 3.40% over the last 5 days, due to a stronger than expected US jobs report, pointing to delayed interest rates cuts.
- **Strategy:** Goldman Sachs is focusing on quality service tailored to the client's needs through the One Goldman Sachs initiative. It aims to increase its share of its clients' businesses.
- **Corporate Finance Transactions:** Recently facilitated a \$12.1B M&A deal where HPS Investment Partners was 100% acquired by BlackRock. Might sell its ETF Accelerator which underperformed (high cost and low number of clients).
- **Ownership:** The top shareholders are Vanguard Group (9.36), BlackRock (7.56%) and Street Corporation (6.18%).

Revenue Mix	%	Gross (\$mm)
Global Banking & Markets	64.8%	\$30,000.0
Investment Management	30.0%	\$13,880.0
Platform Solutions	5,2%	\$2,380.0

Key Metrics	Unit
Gross Margin	N/A
ROIC	1.4%
Debt to Equity	2
Cash ratio	N/A
ROA	0.48%
Pretax Margin	23.22%

Valuation & Share Performance

Key Valuation Statistics

Enterprise Value	\$385.66bn	Revenue (FY23)	\$46.25bn
Market Cap	\$184.36bn	EBITDA (FY23)	\$15.59bn
P/E	N/A	EBITDA Margin '23	33.2%
EV/EBITDA	56.6x	Debt / EV	0.91
Cash	\$7.93bn	Total Debt	\$351.3bn



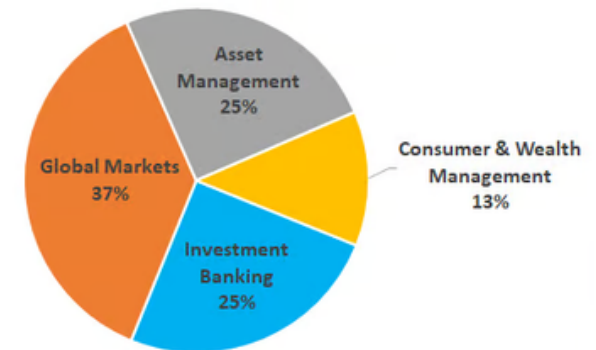


Goldman Sachs Business Model

Operating Segments

- **Investment Banking:** Advisory on mergers and acquisitions (M&A), capital raising, risk management
- **Financial Markets:** Trading, intermediation in equities, bonds, commodities, currencies
- **Asset Management:** Portfolio management, alternative funds, private equity, wealth management
- **Retail Banking:** Marcus by Goldman Sachs (online banking services for consumers).

Goldman Sachs (GS)
2021 Revenue Breakdown by Business Segment





Goldman Sachs Business Model

A new strategy :

Focus on the new strategy "One Goldman Sachs", which aims to:

- Unify client services
- Establish inter-division collaboration

-> In order to provide personalized and comprehensive solutions for each client.

Objectives:

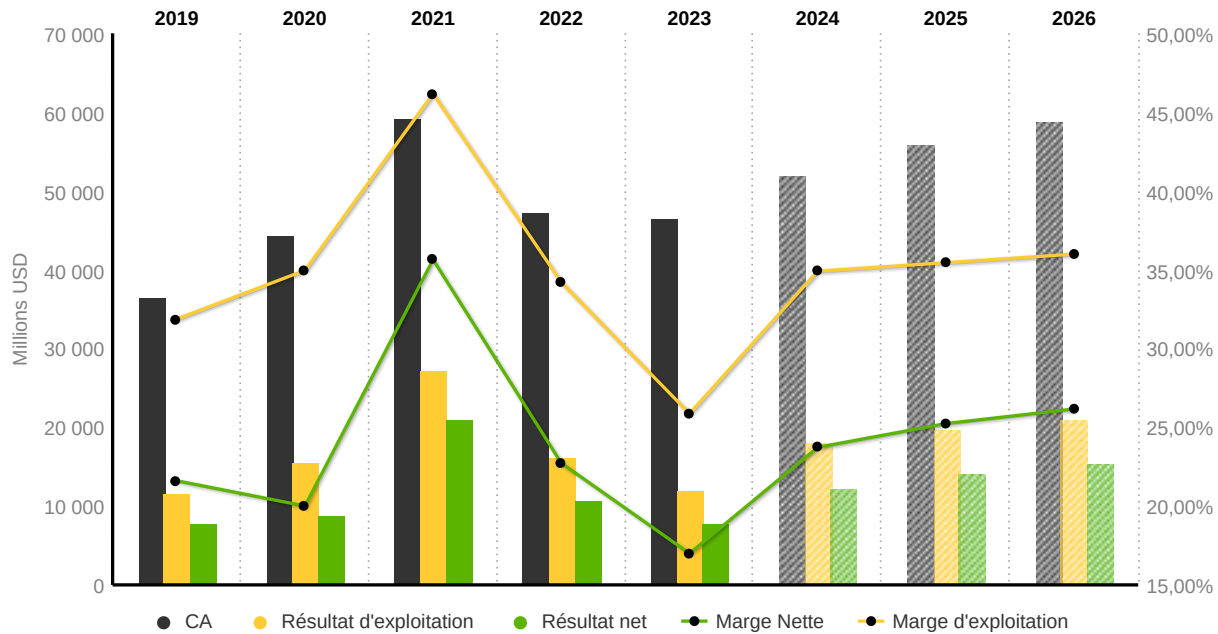
- Increase the share of business held by GS with its clients
- Expand financing activities
- Increase management fees





Operating Forecast

Revenue & EBITDA Forecast



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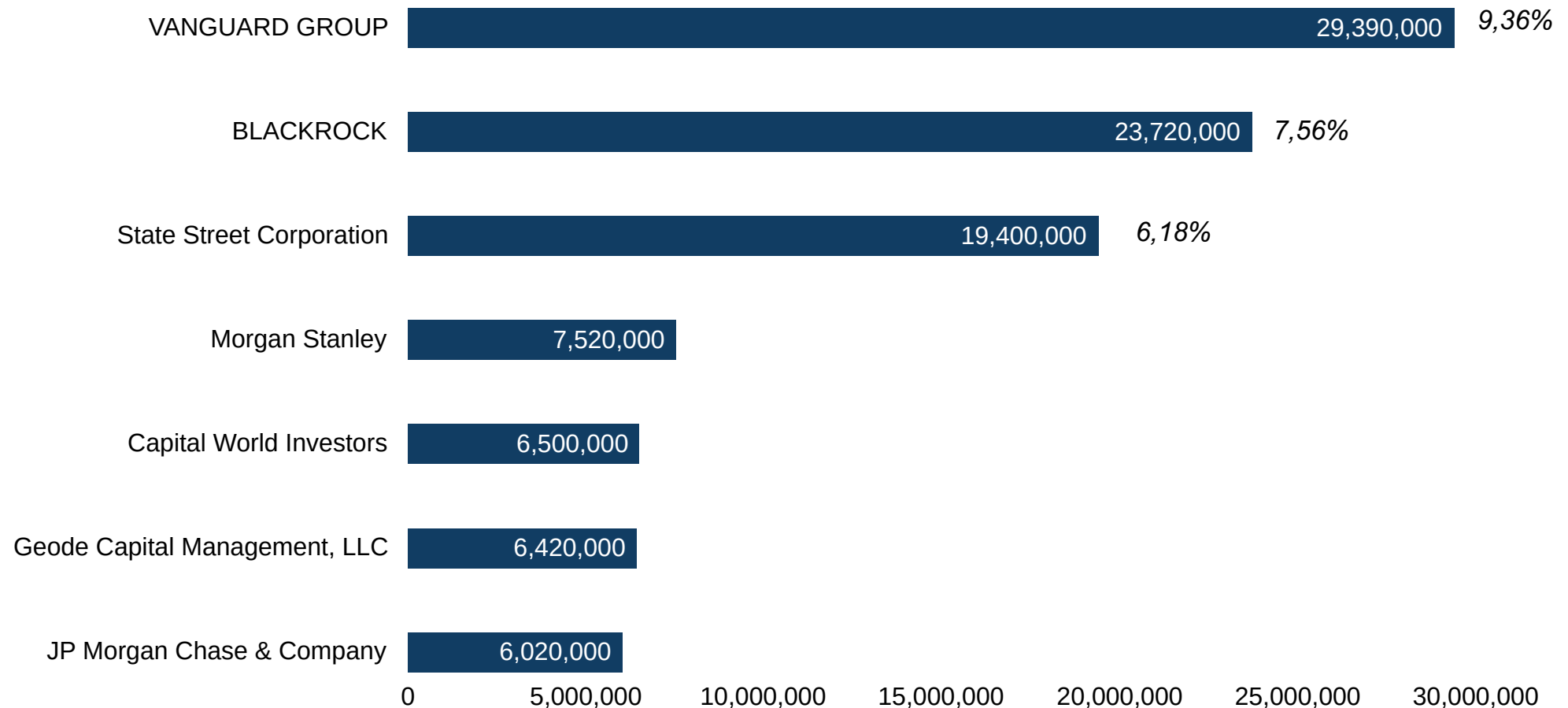
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Shareholder Ownership Analysis

Ownership Analysis

Goldman Sachs' ownership structure is similarly dominated by institutional investors, with major asset management firms like Vanguard Group and BlackRock holding significant stakes. This concentration reflects confidence in the firm's long-term performance and contributes to low float turnover. Insiders, such as executives and board members, maintain a modest share, aligning their interests with those of shareholders. Retail investors play a minimal role, underscoring the firm's appeal primarily to large institutional players.





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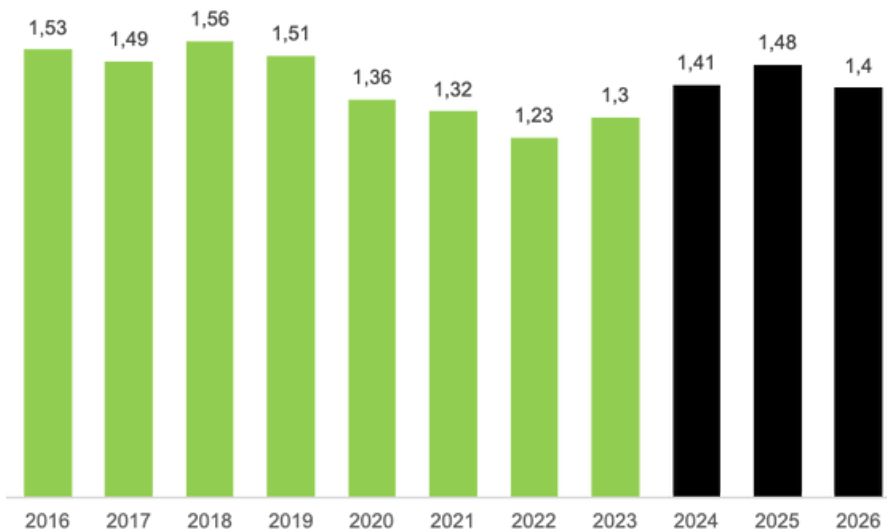
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Key factors

Primary Factor

Noninterest income as a percentage of total assets



- The investment banking sector remains an essential pillar of global finance, demonstrating resilience in the face of volatile economic cycles.
- Despite annual revenue fluctuations, largely influenced by macroeconomic conditions and market activity, investment banks continue to play a central role in driving global economic dynamics.
- Their expertise in capital raising, mergers and acquisitions, and financial structuring attracts investors and ensures a steady capital influx, boosting non-interest income and profitability.
- The rise in non-interest income shows the sector's shift to diversified, high-value revenue. Expanding advisory and fee-based services reduces reliance on interest income and enhances financial resilience.
- The investment banking sector leverages its global network and expertise to facilitate cross-border transactions and attract high-value clients, boosting advisory fees and non-interest income.
- Its role in advising corporations and governments on major financial decisions strengthens its reputation and boosts non-interest revenue through premium services and specialized solutions.



Key factors

Secondary Factor

- Technological investments in analytics tools and digital infrastructure are transforming the investment banking ecosystem.

- The growth in cloud consumption and data management has become a priority, driving process optimization and improved strategic decision-making.

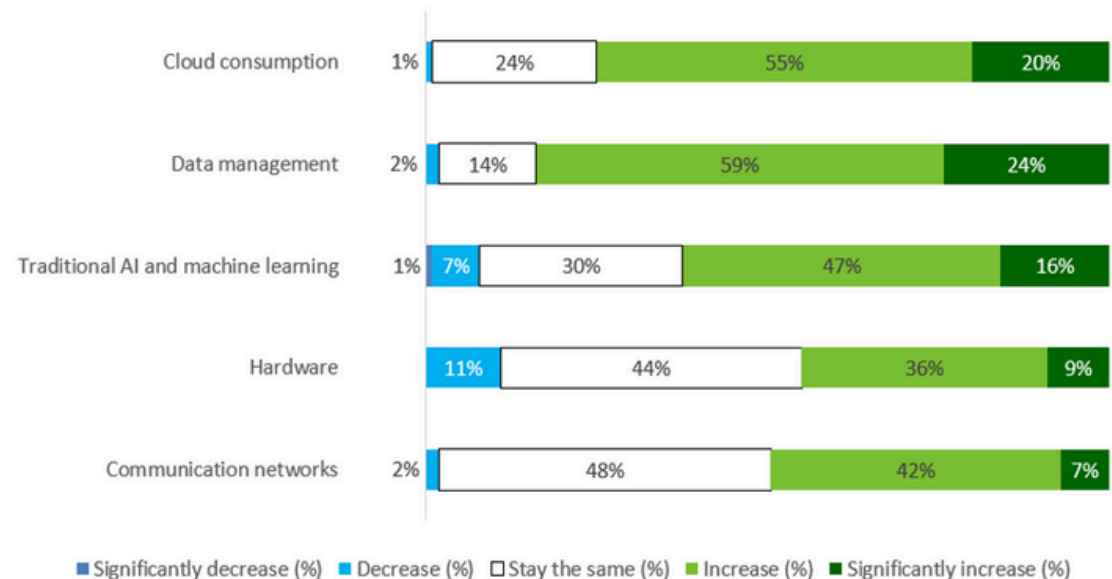
- The adoption of traditional AI and machine learning supports key operations, such as risk management and market forecasting.

- Spending on hardware and communication networks addresses rising demands for speed and connectivity, providing competitive advantages for industry leaders.

- Technological advancements allow investment banks to offer innovative services, generating non-interest income through increased fees for tailored solutions and advisory services.

- The integration of technology in trading platforms and client interfaces boosts transaction fees and commissions, contributing to higher non-interest income.

Generative AI is driving banks to spend more on cloud and data





Competitive Landscape

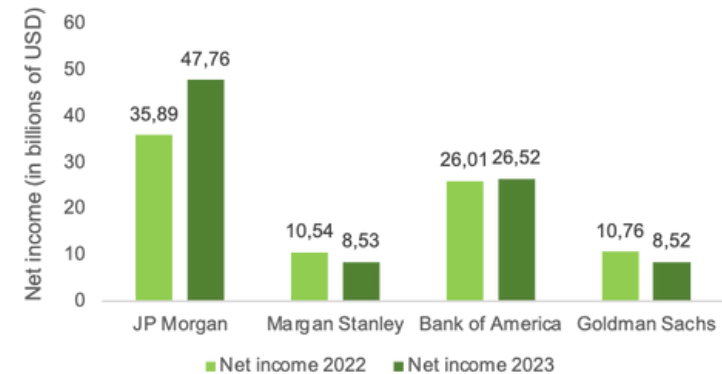
? Competitors

- JPMorgan Chase : A global leader in M&A, trading, and wealth management, renowned for its diversified revenues and strong presence in capital markets and investment banking.
- Morgan Stanley : Specializes in wealth management and corporate services, recognized for its strength in equities and expertise in advising on complex M&A transactions.
- Bank of America : Distinguished by its debt underwriting capabilities and diverse institutional client portfolio, with a strategic focus on sustainable financing and ESG initiatives.

? Partners

- Apple : Partnered with Goldman Sachs to launch the Apple Card, integrating financial services with the Apple ecosystem.
- Amazon Web Services (AWS) : Collaborates with Goldman Sachs to enhance cloud computing, data analytics, and risk management.
- Microsoft Corporation : Works with Goldman Sachs on cloud solutions and machine learning to optimize financial services and operations.

Net income of the main investment banking actors



? Positioning Mapping





Key trends for the industry

📌 Short term

- **Adaptation to Economic Shifts:** Investment banks are adjusting strategies to navigate fluctuating interest rates and global economic volatility, impacting M&A and capital markets.
- **Risk Management Enhancement:** Banks are reinforcing risk management practices to respond to financial market uncertainties and geopolitical tensions.
- **Client Demand for Technology:** There is an increased push for advanced financial technologies to improve transaction efficiency and customer experience.

📌 Medium term

- **Digital Transformation:** Investment banks are investing in AI and machine learning for better data analysis and streamlined processes.
- **Sustainability Focus:** ESG (environmental, social, and governance) factors are becoming integral to strategic planning, influencing investment and funding decisions.
- **Regulatory Adaptations:** Continued evolution in regulations will prompt investment banks to enhance compliance frameworks and adapt to new policies.

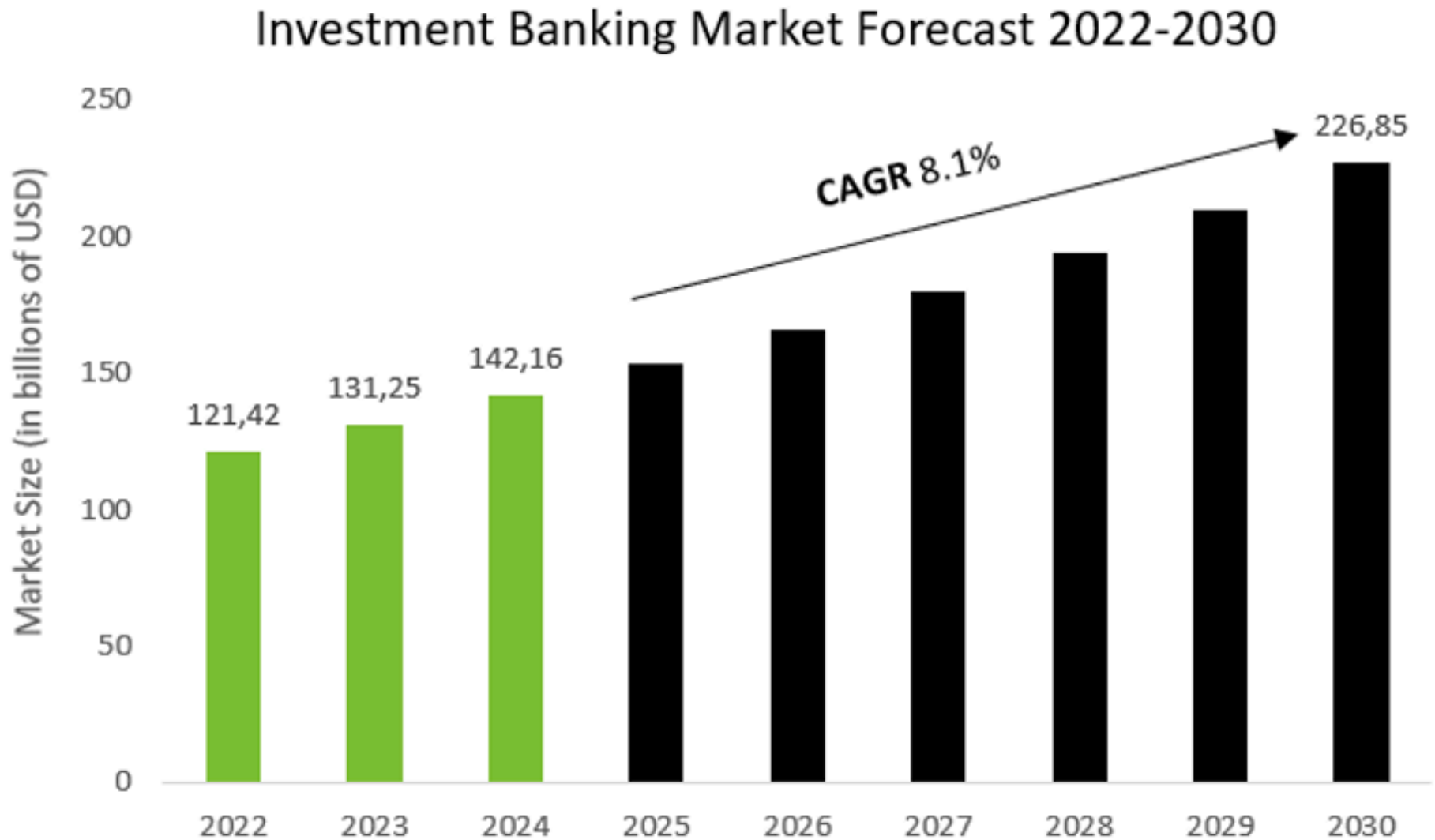
📌 Long term

- **Global Financial Integration :** Expansion of international financial networks will drive greater collaboration among global investment banks.
- **Technological Leadership :** Continued investment in AI, blockchain, and advanced analytics will shape future business models, enhancing decision-making and client solutions.
- **Shift in Client Expectations :** With the growth of digital services, clients will increasingly demand customized, tech-driven solutions from their banking partners.

Source : Grand View Research, Deloitte, McKinsey



Key trends for the industry





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Investment Thesis

Resilience Amidst Challenges

- 2008 Financial Crisis: Goldman Sachs successfully navigated the crisis by quickly adjusting its risk strategies and capital allocation, emerging stronger.
- Goldman Sachs is very diversified, such as trading, investment banking, and asset management
- The firm uses sophisticated risk modeling and hedging strategies to mitigate challenges

Product Improvement and Stability

- Marcus by Goldman Sachs: The launch of its digital banking platform
- Technology Investments: Goldman Sachs' investment in AI and machine learning has improved trading algorithms
- Asset Management Growth: Its focus on sustainable investing and ESG (Environmental, Social, and Governance) products positions the firm as a leader in the growing sustainable investment market.

Short-Term Volatility VS Long-Term Potential

- COVID-19 Impact: In the short term, Goldman Sachs saw a significant dip in some of its business lines, such as M&A advisory, but its trading division performed well due to increased market volatility.
- Long-Term Growth: The firm's focus on wealth management and investment in digital platforms positions it for growth
- Global Expansion: Goldman Sachs has steadily increased its footprint in international markets, particularly in Asia



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Historical Share Price Analysis

Key Events & Share Price Drivers



- During the 2008 financial crisis, Goldman Sachs' stock price dropped significantly due to market instability and exposure to subprime mortgages.
- October 2024: Goldman Sachs pays 89 million fines for deceptive Apple Card practices
- Goldman Sachs forms several investment partnerships, such as with PineBridge and diversified its portfolio
- Goldman Sachs publishes articles about China's policy stimulus and remarks that investors are adjusting to a green transition slower than expected
- December 2024: Major U.S. banks sue federal reserve over annual stress tests
- January 9th, 2025: Goldman Sachs publishes an article analyzing geopolitics and predicting an increase in oil prices in 2025



DCF Model Output

Valuation Summary

WACC	Terminal earnings growth rate					
		-0,50%	0%	0,50%	1%	1,50%
	8,00%	765,80	801,04	840,98	886,62	939,28
	9,00%	700,36	728,39	759,71	794,95	834,89
	9,55%	669,48	694,44	722,17	753,14	787,95
	10,00%	646,39	669,22	694,44	722,46	753,79
	11,00%	600,94	619,88	640,63	663,45	688,67

Implied Share
Price from DCF

722,17\$

Premium to Current
Share Price

29.18%

WACC Assumptions

WACC
9.55%

Cost of Equity
11.48%

Cost of Debt
4.94%

Risk Free Rate
4%

Equity Risk Premia
4.60%



Valuation Summary

Stock Price Performance

Very good performance :

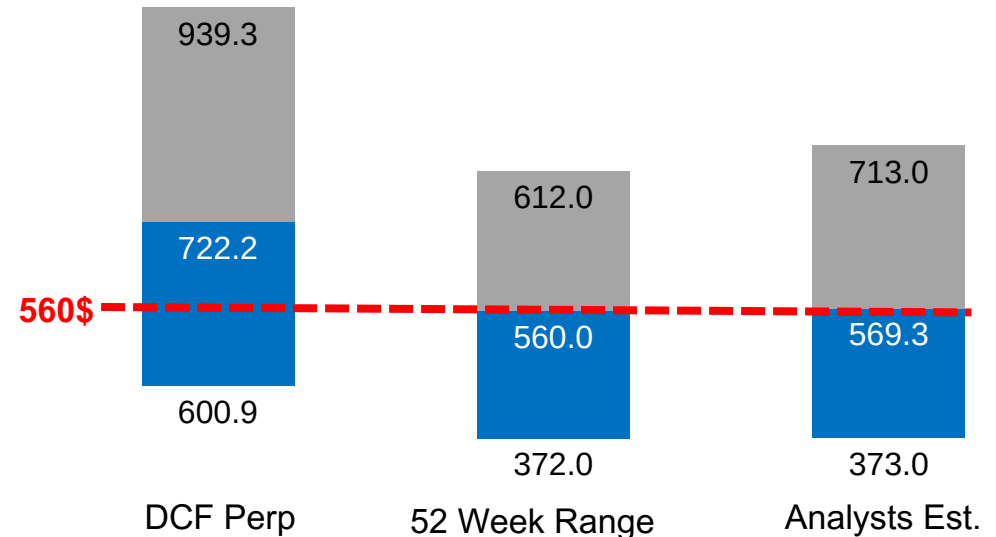
- **2024:** GS is up almost 52% in 2024, overperforming the S&P500.
- **5Y:** GS is up 131%, also overperforming the S&P500 (78%)

Market sentiment :

- **Weak performance in core segments:** The market remains cautious due to a decline in investment banking revenues, stemming from lower deal activity amid higher interest rates and economic uncertainty.
- **Concerns over diversification:** Investors are skeptical about Goldman Sachs' ability to generate consistent growth from its asset management and wealth management businesses.
- **Pressure on profitability:** The stock faces downward pressure as market participants are concerned about lower return on equity (ROE) and the firm's ability to maintain strong profitability amidst challenging market conditions.



Valuation Football Field



Opinion	Number of analysts
Strong buy	13
Buy	2
Keep	9
Sell	1
Strong sell	0



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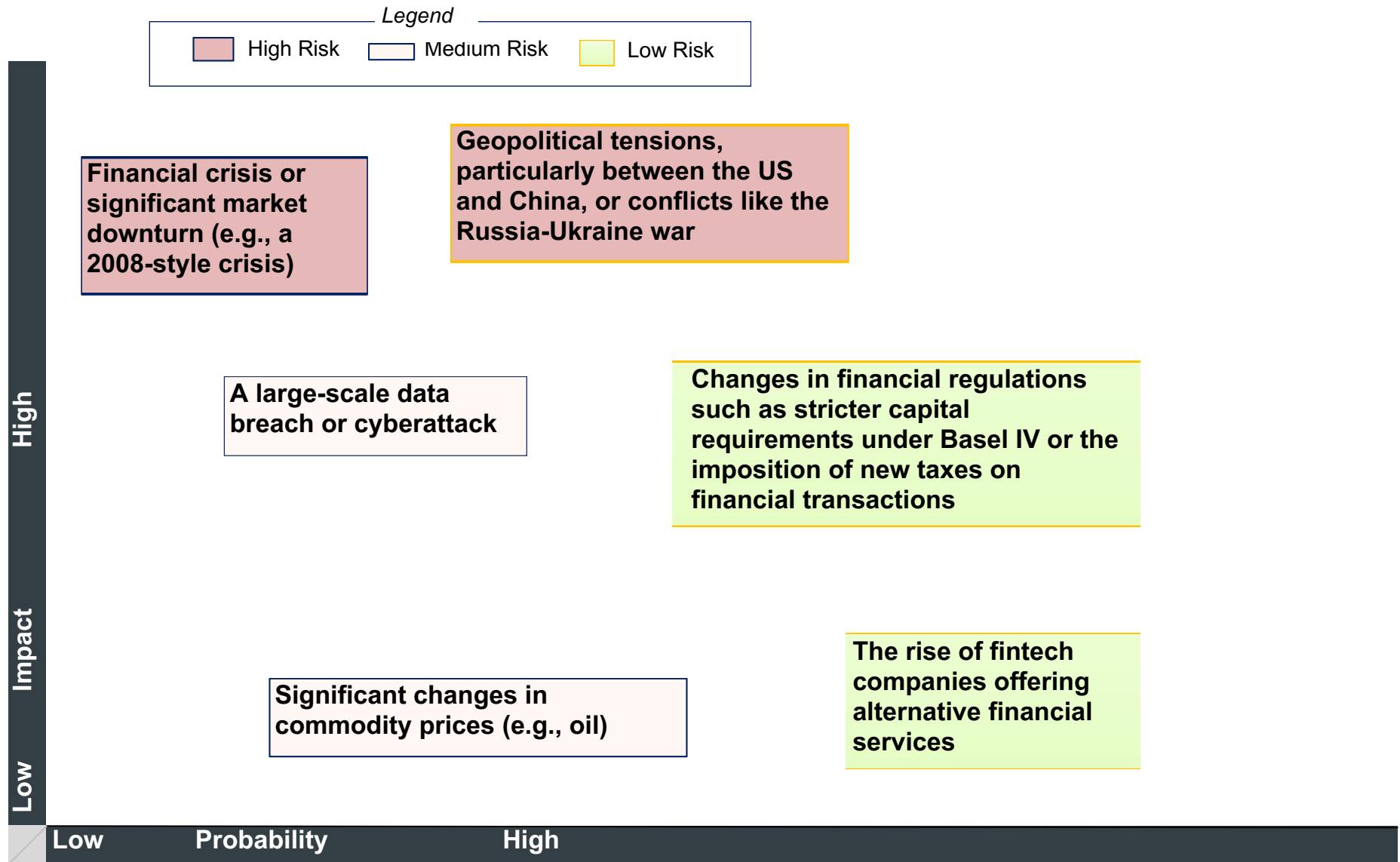
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Risk Considerations





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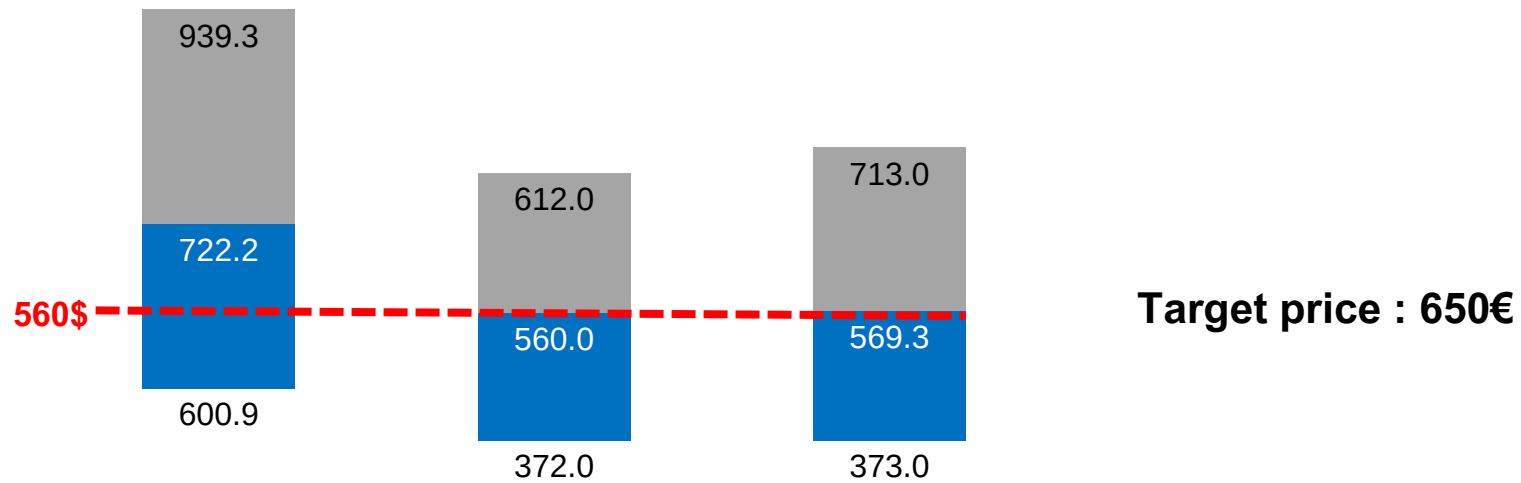
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Price Target & Recommendation



Risks

- Strong exposure to any potential financial crisis

Recommendation

- **Target Price:** €650, giving us a 10% margin of error over our fair value.
- **Action:** A buy recommendation, with a lower exposure than other holdings